

Meta Platforms, Inc.

META NASDAQ

Hold \$568.97 ▼ 3.54% 12M Price Target \$620.00 52-Week Range \$520.26 – \$790.80

Market Cap \$1.45T

META: Addiction Trial + Insider Selling = Overhang Building

WHAT HAPPENED

- Stock down 3.5% and now sitting at just 18% of its 52-week range — brutal. The immediate catalyst is the social media addiction trial that kicks off Tuesday. This is the multi-state lawsuit alleging Meta designed Instagram to be addictive to kids, and it's the first one going to a jury — meaning we're about to get real headline risk instead of hypothetical legal risk.
- The COO dumped shares in a cluster on Aug 10 around \$600-605, and options traders are loading up on out-of-the-money puts (contracts that pay off if the stock falls) — 3-5x the normal volume at the \$650, \$680, \$690 strikes. That's smart money hedging or betting on more downside near-term.

WHY IT MATTERS

Here's what to think about: the trial itself probably won't bankrupt Meta — they have \$70B+ in cash — but the discovery process leaks damaging internal documents, and that fuels the political case for stricter regulation. This matters because KOSA (the Kids Online Safety Act) has been hovering in Congress for two years, and a bad trial verdict or ugly headlines could be exactly the catalyst that pushes it through. If KOSA passes, Meta faces a "duty of care" standard for minors that would force major product changes to Instagram — the crown jewel. On the flip side, once the trial risk is priced in (and at \$569 vs a \$790 high, a lot of it is), any "not as bad as feared" outcome could snap the stock back hard. The setup right now is asymmetric risk into the trial, asymmetric reward once it's over.

POLICY & POLITICAL WATCH

Two things to watch: (1) KOSA revival — the Kids Online Safety Act keeps getting reintroduced, and this trial is fuel for it. If it passes, Meta eats compliance costs and possibly loses some engagement from teen users. (2) The FTC's ongoing antitrust case trying to force Meta to divest Instagram and WhatsApp is grinding through the courts — a loss there is existential, but a win (more likely) removes a massive overhang. Also worth noting: the Trump administration has been more industry-friendly on tech generally, but child safety is bipartisan — Meta doesn't get much political cover on this one.

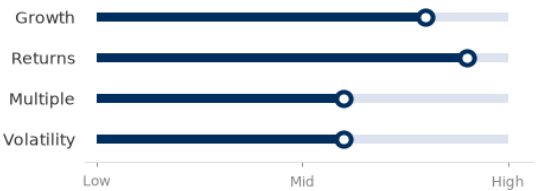
IS IT EXPENSIVE?

At ~\$569 and ~20-21x forward earnings (meaning you're paying \$20 for every \$1 of profit Meta's expected to earn next year), this is actually cheap for a company growing ad revenue in the mid-teens with 35%+ operating margins. Compare that to the S&P 500 at ~22x with much slower growth. The discount exists because the market is pricing in legal risk plus the massive AI capex spend (they're burning ~\$60B+ per year on data centers with unclear ROI). If the AI spend starts showing revenue attribution, this multiple expands fast.

Key Data

Price (USD)	\$568.97
12M Price Target	\$620.00
Upside / (Downside)	+9.0%
Market Cap	\$1.45T
FY2026E Revenue	\$195M
FY2027E Revenue	\$220M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	20.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$610.00	\$575.00	\$530.00
6 Months	\$680.00	\$620.00	\$500.00
1 Year	\$780.00	\$660.00	\$480.00
2 Years	\$900.00	\$720.00	\$450.00
5 Years	\$1200.00	\$850.00	\$400.00
10 Years	\$2000.00	\$1200.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure (chips, data centers, power) is still the "one engine" the market is flying on — federal permitting reform on data centers is a direct tailwind. Defense tech is getting bid as US-Iran talks fade.

COOLING OFF: Consumer-facing social/ad platforms are under pressure from child safety litigation contagion. Anything reliant on teen engagement is in the crosshairs.

ROTATION WATCH: Money is rotating from mega-cap ad platforms (META, GOOGL) into pure AI infrastructure plays (NVDA, data center REITs) — investors want AI exposure without the regulatory baggage.

RELATED PLAY: If you like the AI capex story but hate Meta's legal risk, the picks-and-shovels play is data center REITs (DLR, EQIX) and power infrastructure (VST, CEG) — Meta is a customer of all of them.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the primary beneficiary of every AI capex dollar Meta and peers spend — Meta's spending is literally Nvidia's revenue.
- GOOGL (Alphabet): Similar ad-platform business but the antitrust ruling is largely behind them and YouTube isn't in the addiction crosshairs the way Instagram is.

META CONTEXT: META is LAGGING badly — 18% of its 52-week range while the Nasdaq is near highs. That underperformance tells you the market is specifically pricing Meta risk, not tech-sector risk. When a stock diverges from its sector this hard, either it's a value opportunity or the market sees something you don't. Right now, the trial says: market sees something.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business long-term but I don't like the setup this week. Cautiously optimistic, not pounding the table.

POSITION SIZE: 2-4% of portfolio. This isn't a starter position moment — legal overhangs deserve smaller sizing until they resolve.

ENTRY POINTS: I'd add aggressively at \$540-555 if trial headlines drive a flush. Full position around \$500 if we get a really ugly week.

TIME HORIZON: 12-18 months. Waiting on: (1) trial resolution, (2) AI monetization signals in Q4/Q1 earnings, (3) FTC case ruling.

WHEN TO BAIL: Ad revenue growth drops below 10%, jury awards >\$10B in damages, or KOSA passes the Senate. Any of those = trim hard.

HEDGING: Simplest thing: buy a September put option (a contract that pays off if the stock falls below a set price) at the \$550 strike — costs you a small premium but caps your downside through the trial. Or just keep dry powder to average down.